

FROM GREATNESS TO BETRAYAL

Alberta's Public Fall from Grace

1979 — 2026

A Cross-Party Record of What Was Built, and What Was Taken

PHASE FOUR

The Stelmach Era • 2006 – 2011

The Partial Restoration

The Alberta Disability System Breakdown

St. Albert, Alberta • May 2026

The Stelmach Era, 2006 – 2011

Ed Stelmach is the only Progressive Conservative premier in this document who attempted to undo any part of what Ralph Klein had taken. He partially succeeded. Even his partial success did not reach what Lougheed had originally built.

Of all the eras documented in this piece, the Stelmach era occupies the most awkward structural position. It is a partial restoration era within a long-term dismantling trajectory — neither the continuation of Klein's revolution nor a full reversal of it, but a five-year window in which a less ideological PC government, with significantly more fiscal room than Klein had ever enjoyed, attempted to repair some of what the preceding fourteen years had damaged. The repair was real. It was also insufficient.

Stelmach raised AISH rates for the first time in any meaningful way since 1993. He eliminated the Klein-era healthcare premiums that had functioned as a regressive user fee on the public system for over a decade. His government signed Samantha's Law into effect — a citizen-led amendment to the Family Support for Children with Disabilities Act that was driven by a grieving mother's persistence, not by government initiative, but which the Stelmach government had the political will to pass. The 2009 Protection for Persons in Care Act expanded oversight of vulnerable Albertans in institutional settings. The Stelmach government's record on disability policy is, by the standards of the period this document covers, the most genuinely positive of any PC government after Lougheed.

And it still wasn't enough. The most-cited independent analysis of the 2007 AISH rate adjustment, by University of Calgary economist Ron Kneebone, established that the rate had less purchasing power than the program's 1993 rate. The restoration restored less than what had been lost. The structural template Klein had established — that disability income was discretionary spending, subject to annual political judgment — was not dismantled. It was merely operated more humanely for five years. As soon as the political winds shifted, the same template would be re-activated, and the gains of the Stelmach era would prove reversible. They were.

Political context

Edward Michael Stelmach was born May 11, 1951 in Lamont, Alberta, into a Ukrainian-Canadian farming family. He attended the University of Alberta, did not complete his degree, and returned to the family farm at Andrew, Alberta. He served as a county councillor and reeve of Lamont County before winning the provincial riding of Vegreville-Viking (later Fort Saskatchewan-Vegreville) in 1993. He served under Klein as Minister of Agriculture, Food, and Rural Development (1997–1999); Minister of Infrastructure (1999–2001); Minister of Transportation (2001–2004); and Minister of Intergovernmental Relations (2004–2006).

When Klein stepped aside in late 2006, Stelmach won the PC leadership race in a second-ballot upset, defeating frontrunners Jim Dinning and Ted Morton. The first ballot was held November 25, 2006 (Stelmach placed third, behind Dinning and Morton); on the December 2, 2006 second ballot, Morton's preferential second-choice support broke decisively toward Stelmach, who took 53.9% to Dinning's 38.5%. He was sworn in as Alberta's 13th Premier on December 14, 2006. He inherited a province at the height of the pre-2008 oil boom — fiscal conditions Klein himself had never operated under.

In the March 3, 2008 general election, Stelmach's Tories won 72 of 83 seats — the largest PC majority since the Lougheed era. The result was widely interpreted as a vote of confidence in the PC dynasty more than in Stelmach personally, but it gave him an unambiguous mandate. The 2008 global financial crisis hit the Alberta

budget within months. Stelmach's government returned to deficit through 2009 and 2010. He resigned the PC leadership on January 25, 2011, citing internal caucus tensions and the political fallout from his 2007 Royalty Review. Alison Redford succeeded him in October 2011.

Stelmach died on May 25, 2023, at age 72. His Government of Alberta biographical record preserves his self-framing: a farmer and small-town councillor whose governing style was consensus-driven, fiscally cautious by Alberta standards, and consciously distanced from the more aggressive elements of the Klein-era PC playbook.

What the Stelmach government established

This is the only era in the document where the "established" column carries more substantive weight than the "reduced" column. Each of the actions below is structurally documented and was achieved within Stelmach's five years in office.

1. AISH rate increase — May 2007

In May 2007 — five months after Stelmach took office — his government raised the maximum AISH benefit from \$1,000 per month to \$1,088 per month, the first meaningful base-rate increase since the Klein-era freezes began in 1993. The increase came in the immediate aftermath of Klein's October 2004 election remarks (documented in Phase Three of this piece) and the public criticism that followed. It was, by any reasonable reading, a deliberate distancing from Klein's rhetorical posture toward AISH recipients.

Subsequent Stelmach-era adjustments raised the rate further. By 2008 the rate stood at approximately \$1,050 (some inconsistency between published figures; CBC reporting from February 2008 cites \$1,088 as the May 2007 figure; Alberta Views' Kneebone analysis references \$1,050 in 2007). By the end of Stelmach's tenure in 2011, the maximum AISH rate had reached approximately \$1,188 per month.

The independent academic assessment of this restoration, by University of Calgary economist Ron Kneebone, is the most important single finding of this chapter:

"According to Ron Kneebone, economics professor at the University of Calgary, the 2007 benefit of \$1,050 a month was actually lower in purchasing power than \$850 was in 1993. "If we wanted to keep the payout at the same value that it was in 1993," he says, "it would have to be \$1,172.""

— Alberta Views, "Overhauling AISH"

WHAT THE KNEEBONE ANALYSIS ESTABLISHES

The Stelmach-era AISH increase was real. It was also insufficient to restore the program to its 1993 purchasing power, much less to its 1979 founding parity with senior pension rates. To match 1993 real-term value at the time of the 2007 increase, the rate would have needed to be approximately \$1,172 — meaningfully higher than the \$1,088 actually delivered. By the end of Stelmach's tenure in 2011, the rate had approached this 1993-equivalent figure for the first time in eighteen years — but only barely, and the gains would be erased again within fifteen months of the Kenney UCP government taking office in 2019 (Phase Seven).

2. 2008 employment exemption proposal — partially implemented

Going into the March 2008 election, Stelmach announced a proposal to raise AISH employment-income exemptions significantly — single adults would be allowed to earn \$1,500 per month (up from \$400), and single parents or couples \$2,500 (up from \$975), without losing AISH benefits. The proposal was structured as a campaign promise. Per CBC reporting at the time, it would have affected approximately 6,100 of the then-36,000 AISH recipients who were working.

Stelmach's reasoning, in his own framing at the announcement at the Alex Community Health Centre in Calgary: *"We often hear that they want to work because it boosts their self-esteem when they're in the workforce."* The framing was paternalistic by 2026 standards but, in 2008, represented one of the first

government-level acknowledgements that AISH recipients who could work some hours should not be punished for doing so by near-100% clawbacks. The exemption was partially implemented in subsequent budgets but did not reach the campaign-promise levels.

Independent commentary on the announcement, captured in the same CBC report, recorded the limits of the proposal — Bev Matthiessen of the Alberta Committee of Citizens with Disabilities said the rate exemption was "a good first step" but should be substantially higher; Pat Brown, a Calgary AISH recipient struggling with addictions and mental health and previously homeless for three years, said: *"It's very difficult to survive on AISH. That's why I was homeless for so long."* The Kneebone analysis above explains why.

3. Healthcare premium elimination (2009)

Alberta Health Care Insurance premiums — monthly user fees paid by Alberta residents to the public health system, introduced and maintained through the Klein years — were eliminated by the Stelmach government in 2009. The premiums had functioned as a regressive user fee, falling proportionally hardest on lower-income Albertans, AISH recipients, and seniors on fixed incomes. Their elimination was supported across party lines at the time and has been repeatedly cited by subsequent commentators as one of the Stelmach era's most significant policy decisions.

The premiums have not been reintroduced, despite multiple subsequent attempts (Jim Prentice's 2015 attempt was abandoned mid-campaign; subsequent PC and UCP governments have considered and rejected the idea on political grounds). The 2009 elimination is, in this narrow respect, a permanent Stelmach-era contribution to the post-Klein rebalancing.

4. Samantha's Law — Family Support for Children with Disabilities Act amendment (December 3, 2009)

Samantha Lauren Martin was born on June 4, 1993, in Alberta, with tetrasomy 18p — a rare chromosomal condition causing significant medical and developmental complexity. Alberta social workers advised her family that Samantha would receive better medical support if she were placed in foster care, where provincial funding could be accessed for her care. Her mother, Velvet Martin, has stated that the placement was effectively coerced — the only mechanism by which the funding could be accessed required guardianship relinquishment.

Samantha lived in foster care for more than ten years. She returned to her biological family five months before her death. On December 3, 2006, she died of cardiac arrest at Stollery Children's Hospital in Edmonton, age 13. Her mother subsequently fought — and won — a court action to lift the publication ban that, under Alberta law at the time, prevented her from naming her own daughter publicly. The court action allowed Velvet Martin to begin advocacy for legislative change.

On December 3, 2009 — the third anniversary of Samantha's death, and the same date the UN Convention on the Rights of Persons with Disabilities was tabled in the federal House of Commons — the Stelmach government passed an amendment to the Family Support for Children with Disabilities Act. The amendment, known as Samantha's Law, established that **families could no longer be required to surrender guardianship of their disabled children in order to access government funding for medical and developmental services**. The Family Support for Children with Disabilities Program was formally separated from child intervention services.

Velvet Martin's recognition came years later. She received an International Human Rights Award in 2015, presented at Edmonton City Hall, for her advocacy. The Samantha's Law framework continues to operate. The

principle it established — that disability supports should not be conditional on family separation — is one of the durable Stelmach-era contributions to Alberta disability law.

WHO ACTUALLY DROVE THIS LEGISLATIVE CHANGE

Samantha's Law was not a government initiative. It was the product of seven years of advocacy by Velvet Martin, who fought the publication ban, the foster-care system that had held her daughter for a decade, and the legal framework that had required the relinquishment of guardianship as a condition of accessing disability supports. The Stelmach government's role was to pass the amendment Velvet Martin had spent those years constructing the political conditions for. This is what citizen-driven legislative reform looks like. It is also, by direct extension, what the ADSB campaign is doing now — constructing the political conditions for legislative change that no government will initiate on its own.

5. Protection for Persons in Care Act (February 2009)

Enacted in February 2009 (per the Disability Sector Legacy Project timeline), the Protection for Persons in Care Act expanded mandatory reporting obligations and oversight for vulnerable Albertans in institutional care settings, including persons with developmental disabilities, seniors in long-term care, and recipients of various government-funded support services. The Act has been amended several times since its passage. Its original framework remains in force.

What the Stelmach government took or reduced

The Stelmach era is, on balance, a net positive era within the scope of this document. But "net positive" is not "unambiguously positive," and the reductions and walked-back reforms documented below are part of why the partial restoration was partial.

1. The 2007 Royalty Review — walked back under industry pressure

In late 2007, Stelmach's government conducted a Royalty Review chaired by accountant Bill Hunter. The Review's report — *Our Fair Share* — recommended an increase in oil-and-gas royalty rates that would have moved Alberta closer to the Lougheed-era 30% royalty target. Stelmach initially accepted the recommendations and announced a rate increase. The oil-and-gas industry response was swift and coordinated: drilling activity was reduced, capital was reallocated to other jurisdictions, and a sustained public-relations campaign attacked the Review's findings.

By 2009 — under pressure from industry, falling oil prices in the aftermath of the 2008 financial crisis, and his own caucus — Stelmach's government rolled back substantial elements of the Royalty Review's recommendations. The structural shift toward the Lougheed-era royalty regime did not survive. Alberta returned to one of the lowest royalty regimes among major oil-producing jurisdictions, a position it has maintained in every subsequent fiscal cycle to the present moment.

The disability-policy significance of the Royalty Review walk-back is indirect but structural. The royalty revenue forgone in 2009 was, in net-present-value terms, substantial — and it was forgone in a province that has, in every subsequent fiscal cycle, cited revenue shortfalls as justification for social-services restraint. The Royalty Review was Stelmach's most ambitious attempt to restore the Lougheed-era fiscal framework. Its failure is, in retrospect, one of the structural causes of why subsequent Alberta governments have continued to treat disability programs as discretionary spending.

2. Post-2008 fiscal contraction

The 2008 global financial crisis hit Alberta's oil-revenue-dependent budget hard. Stelmach's government returned to deficit through 2009 and 2010. Spending growth across ministries was constrained, and several planned expansions of disability-adjacent programs were deferred or scaled back. The AISH rate increases continued but at diminished pace. The 2008 election promise of \$1,500 single-adult employment exemptions was not fully delivered. The Family Support for Children with Disabilities program absorbed budget pressure, with families reporting tightened eligibility criteria and longer wait times for services — patterns that have continued under every subsequent government to the present moment.

3. AISH did not return to 1979 parity

Even at the high point of the Stelmach-era AISH increases, the program's base rate did not return to its 1979 founding parity with senior pension rates. The 1979 design premise — that disability income should match the income paid to seniors on the basis of the same demonstrated structural inability to earn a working income — had been broken during the Klein years and was not restored under Stelmach. The structural separation of AISH from senior-pension-equivalent value has been a continuous feature of every Alberta government from Klein to the present. Stelmach narrowed the gap. He did not close it.

Caseload context

AISH caseload grew steadily through the Stelmach years, continuing the trend that began in the late 1990s. Approximately 36,000 Albertans received AISH at the start of Stelmach's tenure in 2006. By the time he left office in 2011, the caseload had grown to approximately 41,664 (per the Open Alberta 2010 data point cited in the Wikipedia framework). The growth represents both demographic expansion and broader recognition of qualifying conditions, including mental health diagnoses that would not have been consistently recognised as AISH-qualifying in 1979.

Welfare caseloads tell a different story. Per Maytree's longitudinal Income Support analysis, *"The proportion of Income Support beneficiaries decreased gradually until 2007-08, followed by a period of fluctuation between 1.5 per cent and 2.5 per cent from 2008-09 to 2013-14."* The 2008 financial crisis stabilised what had been a decade of Klein-era welfare reduction, but did not reverse it. Welfare in Alberta has, since 1996, operated at structurally lower caseload levels than it did pre-Klein — a Klein-era achievement Stelmach's government did not undo and subsequent governments have not revisited.

The Stelmach conclusion

Ed Stelmach governed Alberta for five years. He won the largest PC majority since Lougheed. He inherited a fiscal environment that gave him room to act, lost most of that room to the 2008 financial crisis, and still managed — within five years — to deliver the only meaningful AISH rate restoration of the post-Lougheed period; the elimination of healthcare premiums; the passage of Samantha's Law; and the Protection for Persons in Care Act.

He also walked back the Royalty Review. He did not return AISH to 1979 parity. He did not undo the Klein-era welfare restructuring. He did not establish indexation of disability supports to inflation. The structural template Klein had constructed — that disability income was a discretionary annual budget decision — was operated more humanely under Stelmach. It was not dismantled. And because it was not dismantled, every gain of the Stelmach era was reversible by any successor who chose to reverse it.

Within fifteen months of the Kenney UCP government taking office in 2019, the AISH indexation that had been established under Rachel Notley in 2018 (Phase Six) was reversed by Bill 26. The structural template Klein had built — and that Stelmach had not dismantled — was reactivated. The Stelmach-era gains were not protected by their passage. They were protected only by the continued political will of subsequent governments to maintain them. That will did not last.

Stelmach's record stands as proof that PC governments could — under conditions of fiscal capacity and political will — make meaningful improvements to disability supports in Alberta. His record also stands as proof that those improvements could not survive the absence of either condition. The lesson the ADSB campaign draws from the Stelmach era is the lesson Lougheed kept stating throughout his retirement: structural protection has to be built into the institutional architecture itself, not left to the discretion of the premier-in-office. Stelmach restored. He did not protect his restoration. The next premier did not destroy it. The premier after that did.

Phase Five of this piece documents the brief and structurally compromised Redford, Hancock, and Prentice era — the final three PC premiers before the 2015 NDP election. The Stelmach restoration partially held through this period. Its full reversal would come later.

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